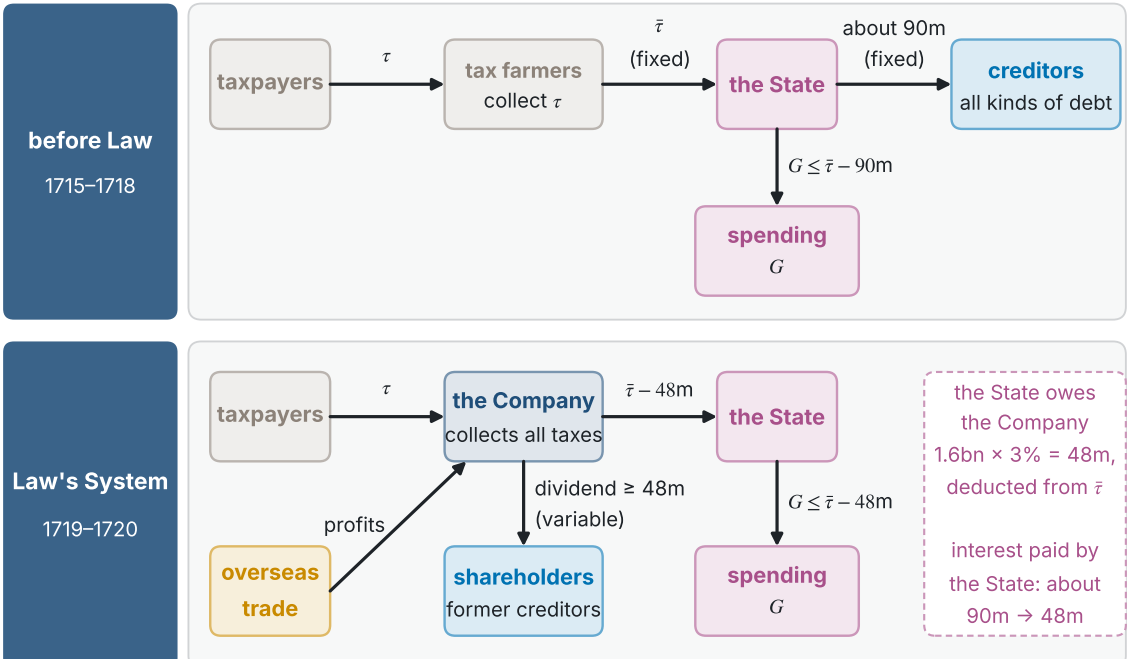
before Law
1715–1718
taxpayers
τ
tax farmers
collect τ
τ̄
(fixed)
the State
about 90m
(fixed)
creditors
all kinds of debt
G ≤ τ̄ − 90m
spending
G
Law's System
1719–1720
taxpayers
τ
the Company
collects all taxes
τ̄ − 48m
the State
dividend ≥ 48m
(variable)
G ≤ τ̄ − 48m
profits
overseas
trade
shareholders
former creditors
spending
G
the State owes
the Company
1.6bn × 3% = 48m,
deducted from τ̄
interest paid by
the State: about
90m → 48m